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MODEL QUESTIONS

Part-A Multiple Choice Questions

1. In which of the following is **not** a type of market structure Price will be very high?
   a. Perfect competition
   b. Monopoly
   c. Duopoly
   d. Oligopoly

2. Equilibrium condition of a firm is.....
   a. MC = MR b. MC > MR
   c. MC < MR d. MR = Price

3. Which of the following is a feature of monopolistic competition?
   a. One seller
   b. Few sellers
   c. Product differentiation
   d. No entry

4. A firm under monopoly can earn ..... in the short run.
   a. Normal profit
   b. Loss
   c. Super normal profit
   d. More loss

5. There is no excess capacity under .....
   a. Monopoly
   b. Monopolistic competition
   c. Oligopoly
   d. Perfect competition

6. Profit of a firm is obtained when .....
   a. TR < TC
   b. TR - MC
   c. TR > TC
   d. TR = TC

7. Another name of price is.....
   a. Average Revenue
   b. Marginal Revenue
   c. Total Revenue
   d. Average Cost

8. In which type of market, AR and MR are equal .....
   a. Duopoly
   b. Perfect competition
   c. Monopolistic competition
   d. Oligopoly

9. In monopoly, MR curve lies below .....
   a. TR
   b. MC
   c. AR
   d. AC

10. Perfect competition assumes .....
    a. Luxury goods
    b. Producer goods
    c. Differentiated goods
    d. Homogeneous goods